

The New Stock that Did Not Underperform

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Abstract

This paper examines the performance of newly listed stocks in a unique setting in which firms do not issue new equity immediately prior to listing. Using data over the period 2001-2012 from the Kuwait Stock Exchange, we find that newly listed firms do not observe any underperformance over a three-year period as documented in the extant literature. This result is arrived at after controlling for both size and book-to-market effects using both event-time and calendar-time approaches.

JEL classification: *G14, G15, G30*

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I Introduction

There is a long and growing literature that examines newly listed stocks (NLSs) and IPOs. The literature has generally been in agreement that IPO stocks underperform on the long run (Ritter & Welch, 2002). In this paper we examine the issue of NLSs long-term performance by putting them in a setting where, as opposed to normal IPOs, firms do not issue new stock prior to their exchange listing. Instead they immediately go from a private firm to a public firm.

The findings on the long underperformance of NLSs has been documented not just in the US (e.g. Ritter, 1991), but also in the UK (e.g. Levis, 1993), Germany (Ljungqvist, 1997), and in many other parts of the world (Loughran, Ritter, & Rydqvist, 1994). In this paper, we try to further our understanding of this phenomena by examining NLSs that did not issue new stocks immediately prior to their listing. We do that by examining newly listed firms in the Kuwait Stock Exchange (KSE).

We test for the long-term performance of NLSs stocks over the period 2001-2012. We do that by performing three main tests. In the first set of tests, we create portfolios of NLSs based on their month of listing and observe their buy-and-hold return over a three-year window. To assess the returns achieved by these NLSs portfolios, we compare their performance to that of portfolios of size-matched firms. In the second set of tests, we run monthly cross-sectional regressions of stock returns on documented explanatory variables with the addition of an indicator variable equal to one if the stock was newly listed. The third set of tests is done by creating time-series portfolios of NLSs and non-NLSs and then regressing their returns on the Fama-French three-factor model.

While earlier literature that examined GCC IPOs, of which Kuwait is a member, found long-term underperformance (Al-Hassan, Delgado, & Omran, 2010), we arrive at opposing findings. We find that firms that get listed without having issued new stocks do not underperform over the long run. This result is arrived at by controlling for NLSs size and B/M characteristics. When comparing the performance of NLSs to the general market indexes, we find that portfolios composed of NLSs overperform by 40-50% over the sample period. However, we feel that one would fall in a pitfall if performance assessment was done in such a manner when it comes to the Kuwaiti market (Alanazi & Al-Zoubi, 2015), as NLSs tend to have characteristics that are fundamentally different than the general market, especially in terms of their market caps.

This paper contribute to long standing literature on IPOs. It brings to light very unique findings on the performance of NLSs. The unique findings are that when firms just get listed without issuing new stocks prior to that, they do not observe any long-term abnormal performance. While it is tempting to dismiss these findings as manifestations of the inherent random-

ness in returns and data mining, we caution against that given the earlier findings of Kuwaiti IPOs that do issue stocks underperforming (Al-Hassan et al., 2010).

The paper also contributes to the growing literature on the efficiency of the GCC markets and Kuwait in specific. There is a long list of literature that has examined the weak-form efficiency of KSE and the GCC markets using different runs and variance ratio tests (e.g. Abraham, Seyyed, & Al-sakran, 2002; Al-Loughani, 1995; Butler & Malaikah, 1992). While this literature has found mixed evidence, a recent paper by Alhashel (2016) has tried to examine the speed to which prices reflect public information regarding the firm (i.e. semi-strong efficiency). This paper supports the findings of Alhashel (2016) by showing that NLSs do not observe any anomalous performance which is evidence in support of the semi-strong efficiency of the Kuwaiti market.

The rest of the paper goes as follows. Section II discusses the data, the calculation of the stock returns, and the choice of the matching firms. Section III estimates the performance of portfolios of NLSs and compares them to the performance of size-matched portfolios as well as alternative benchmarks. Section IV performs cross-sectional and time-series regressions of NLSs returns controlling for both the size and B/M effects. Section V concludes.

II Data

Our data consists of 105 newly listed stocks (NLS) on the KSE over the period 2001-2012. The data on newly listed shares and stock returns were obtained through the KSE website that provides daily security prices for all listed stocks. We define an NLS as any stock that starts trading in KSE. A stock that was delisted but relisted again during our sample would also be considered a NLS.

Figure I shows the number of newly listed firms over the sample years. We stop the sample of newly listed shares by 2009 to be able to observe a full 3 year window of their subsequent performance. We can see from Figure I that the listing of new shares peaked in 2005 and 2006 which coincides with a period of higher stock prices and volume across the market. The sample period was definitely the hottest issue markets Kuwait is yet to see with the number of stocks in KSE more than doubling. Nevertheless, an interesting aspect of our sample is that it covers periods of significant positive market returns and periods of significant market decline in the aftermath of the 2008 financial crisis. This allows for a better assessment of the long-term performance of NLSs by putting them in both upward and downward markets.

i Stock Returns

Using the monthly stock prices, we follow each NLS from the first month of listing till the earlier of the following: 36 months following its listing, its delisting date, or December, 31st 2012. The reason behind looking at a three-year interval was driven by the following reasons. First of all, the use of a three-year window has also been used in the literature (e.g. Cai, 1998; Loughran & Ritter, 1995; Ritter, 1991; Wang, Wei, & Pruitt, 2006). Second, our sample time frame is relatively short compared to those of more established markets and hence choosing a longer interval would entail losing the observations of later listed firms. Third, a longer time horizon exposes the returns to greater variability and the possible effect of other factors (Loughran & Ritter, 1995).

We calculate monthly stock returns based on a buy-and-hold return from the closing on the date of listing till the third anniversary date (T) or the termination date ($Term$), where termination date is the minimum of the the delisting date or December, 31st 2012 (Barber & Lyon, 1997). The percentage return is calculated as in the following formula,

$$R_{it} = \prod_{i=1}^{\min[T, Term]} (1 + R_{it}) - 1 \quad (1)$$

where $t = 1$ is the date of the first month of listing and $\min[T, Term]$ is the minimum of the the delisting date or December, 31st 2012. The choice behind using buy-and-hold returns over cumulative abnormal returns is that it is the widely accepted methodology for long-term performance measurement while also capturing exactly the actual performance of the investor (Lyon, Barber, & Tsai, 1999).

ii Matching Firms

We create a size-matched portfolio for our portfolio of NLSs (Barber & Lyon, 1997). The stocks in the matching portfolio are all firms that were not listed in the previous three years as of the month of the matching (i.e. they have been trading for more than three years). For each newly listed shares, we match it with the stock that has the closest size on the month of listing. We define size as the firm's market capitalization. Moreover, we require that all matching stocks do not get delisted prior to its newly listed match completing its third anniversary date or reaching its termination date.

III Portfolio Performance of NLSs

In this section we examine the performance of NLSs using various methodologies. In assessing their performance we first start by calculating the

return for each of the NLS portfolio and its matched portfolio. The NLSs portfolio return is calculated as the equally weighted average return of all stocks listed in a given year t , with the size-matched portfolio is calculated in a similar manner, as defined by the following formula,

$$R_t = \frac{1}{n} \sum_{i=1}^n R_i \quad (2)$$

where R_i is firm's i total stock return over holding period $\min[T, Term]$ since getting listed in year t .

In addition to calculating equally-weighted portfolio returns, we also calculate wealth relatives. A wealth relative is calculated for each group of stocks listed in year t . It is defined as the ratio of wealth you would have accumulated from purchasing newly listed stocks in year t relative to the wealth you have accumulated to purchasing a portfolio of stocks of similar size by the end of the three-year holding period.

i NLSs Portfolio Returns

In this section we present the three-year buy-and-hold returns and wealth relatives for all 105 newly listed stocks over the time period 2001-2009. Table I reports our findings. Over a holding period of three years, the overall buy-and-hold return is 119% for NLSs versus 94% for their size-matched counterparts. This would translate into an average three-year holding period wealth relative of 1.13. This would indicate that there is a slight over performance of newly listed stocks over their size-matched firms. This is in contrast to the wealth relatives of 0.80 and 0.83 as reported by Loughran and Ritter (1995) and Ritter (1991).

ii NLSs Returns Over Their Holding Period

To further understand the performance of NLSs, we examine their returns over their three-year holding period vis-à-vis their size-matched counterparts. This is done in Table II. The sample size is different for the first two years due to the inclusion of stocks listed post 2009 which were not included in Table I as to observe the full three-year performance.

We can see from Table II and Figure II that the performance of NLSs fluctuates widely with respect to their size-matched portfolio. In the first six months NLSs show a strong performance with an average return of 144% that far exceeds that of firms with similar market capitalization, which only achieve an average return of 8%. This superior performance is statistically significant at the 5% level as seen in row (3) of Table II. The t -statistics reported in row (3) are for the null hypothesis that the return of NLSs portfolio over the specified period of time is statistically insignificant from that of its size-matched portfolio. The NLSs' superior performance in the

first 6 months, however, quickly fades by the second half of their first year, such that by the end of their first year, the statistical significance of their higher performance dissipates as indicated by the t -statistic for the difference having a value of 1.8. That would mean that newly listed stocks, while showing strong performance in the first half of their first year, would end the year at the same note as firms with similar size. Moreover, the fact that NLSs achieved an average return 152%.

In the second year, we observe the performance of NLSs to be less than that of their size-matched portfolio with the underperformance narrowing in the third year. However, the NLSs underperformance in the second and third year is statistically insignificant from zero. When looking at the total performance over the three year window, we can see from the last column in Table II that the performance of NLSs held for three years would have generated an average return of 119% compared to 94% for the size-matched portfolio. While there is an excess for the NLSs of 25%, this excess return of 25% is statistically indistinguishable from zero. In other words, buying newly listed stocks and holding them for a three-year period would not generate returns in excess of a portfolio composed of already listed firms with similar market caps.

iii Alternative Benchmarks

In the previous two sections, we compared the performance of NLSs to firms that have been listed for more than three years with similar market size. In this section we compare the performance of NLSs to a different set of benchmarks to assess the robustness of our earlier findings. The alternative benchmarks used are the KSE Price-Weighted (PW) Index and the KSE Value-Weighted (VW) Index. The results are reported in Table III. We can see that when we use the two alternative benchmarks we observe that the portfolio of NLSs would result in an accumulated wealth that is 42% to 51% higher than that of the benchmarks as measured by the wealth relative figures. This over-performance is much greater than what was found earlier with respect to the size-matched firms.

We caution though from hastily jumping to the conclusion that a portfolio of NLSs would generate excess returns. While NLSs outperform the KSE PW and VW indexes, this stems from the fact that most of the NLSs over the sample period were of smaller market size. Given this systematic difference in firm size, it would be more appropriate then to compare the performance of NLSs to firms of comparable size (Banz, 1981; Fama & French, 1992, 1993).

IV Tests to Control for Size and Book-to-Market Effects

In this section we provide additional robustness tests for the performance of NLSs. We have so far controlled for the size effect documented in the literature. Now we extend our empirical testing to take into consideration the Book-to-Market (B/M) effect. The literature has extensively documented that stocks with high (low) Book-to-Market achieve higher (lower) returns (Fama & French, 1992, 1993; Rosenberg, Reid, & Lanstein, 1985). It could be argued that firms that get listed are firms with significant growth opportunities (i.e. low B/M) and they entered the public market in order to tap into its resources to fund these growth opportunities. If this argument stands, then we would expect newly listed stocks to be driven by the B/M effect and hence we need to control for it along with the size effect.

We control for both these effects by using cross-sectional regressions and the Fama-French three factor model that utilizes time-series monthly returns.

i Cross-sectional Regressions of Realized Returns

In this section we try to test whether an NLS effect drives stock returns that is distinct from other documented drivers of stock returns by running Fama-Macbeth regressions over the whole of our sample period of 2001-2012. Our cross-sectional regression is defined as the following,

$$r_{it} = b_0 + b_1 \ln MV_{it} + b_2 \ln(B/M)_{it} + b_3 NLS_i + e_{it}. \quad (3)$$

MV_{it} is defined as the the firm's market value at the end of the previous June. The B/M_{it} ratio is calculated as the ratio of the firm's book value as of the quarter ending in December 30 to the firm's market value at the end of the previous June. NLS_i is an indicator variable equal to 1 if the firm was listed within the last 36 months, 0 otherwise. The choice of MV_{it} and B/M_{it} as control variables is driven by the empirical findings of Fama and French (1992), Fama and French (1993), and Banz (1981).

Table IV reports the estimates for the full Model (3) and for Model (3) with only the NLS_i as an explanatory variable. In row (1) we can see that firms with larger market caps earned statistically significant lower returns. A firm with a KWD 100 million market cap would have earned -0.9% less in monthly returns relative to a KWD 10 million market cap firm. We can also see from row (1) that a firm with a B/M of 1 would earn a monthly return that is 0.4% greater than a firm with a B/M of 0.5. This greater return is statistically significant at the 5% level. These findings are in line with those of the extant literature in terms of their statistical significance.

However, we find, as reported in row (1), that the NLS_i variable's coefficient is statistically insignificant. This would indicate that newly listed

stocks did not perform any different from other stocks in their first 36 months. Even when we only leave NLS_i as an explanatory variable, as in row (2), we observe the variable to be statistically insignificant from zero. These results would be in line with those found in Table I in terms of excess returns achieved by NLSs when controlling for size and B/M.

ii Time-series Regressions of Realized Returns

Here we estimate a time-series Fama-French Three factor model as in Fama and French (1993). Using this calendar time approach, instead of event-time approach, would address an issue familiar with most IPOs, as in our case, that the number of newly listed stocks goes up significantly during up markets. This is due to the easier placement of stocks during bull markets and the attractive valuations those NLSs would receive (Lowry, 2003; Schultz, 2003). In a calendar time approach, we would create two portfolios, one is composed of NLSs which are stocks that have been listed within the last 36 months and a portfolio of non-NLSs (i.e. stocks that have been listed for longer than 36 months). Our test involves estimating the following regressions,

$$R_{pt} - R_{ft} = b_o + b_1(R_{mt} - R_{ft}) + b_2SMB_t + b_3HML_t + e_t, \quad (4)$$

where R_{pt} is the portfolio's return in month t , R_{ft} is the Central Bank of Kuwait's (CBK) three-month treasury bill rate in month t , R_{mt} is the VW index return in month t , SMB_t is the return of a portfolio composed of small stocks minus the return of a portfolio composed of large stocks in month t , HML_t is the return of a portfolio composed of stocks with high B/M minus the return of a portfolio composed of stocks with low B/M in month t . We also reestimate Model (4) with the dependent variable being the difference in return between the NLSs portfolio and the non-NLSs portfolio. When faced with a month with no new three-month t-bills from the CBK, we assume that the CBK t-bill rate for that month is equal to that of the previous month.

Table V reports the estimates for Model (4) using as dependent variable the returns of the NLSs portfolio, the returns of the non-NLSs portfolio, and the difference in the returns of the two portfolios. Panel A reports the results when portfolios are value weighted whereas Panel B reports the results when the portfolios are equally-weighted. We can see from rows 3 and 6 that a portfolio of NLSs does not generate any excess return and that its returns are fully explained by the three factors. This is evident by the intercept's coefficient b_o being statistically insignificant in both rows. This finding goes along our earlier results that newly listed stocks do not perform over the long-run any different from other stocks when controlling for size and B/M ratios.

Table V provides us with further insights into the characteristics of NLSs. We can see that in both rows 3 and 6 the market risk premium coefficient, b_1 , was positive and statistically significant. This indicates that NLSs carried a higher market risk. We can also note from those two rows that difference portfolio had a positive and significant loading on the SMB_t factor. This would show that NLSs smaller than non-NLSs. As for b_3 , the evidence is mixed depending on the weighting of the portfolio as seen in rows 3 and 6. We take this as some evidence, given the negative and significant value of b_3 in row 6, that NLSs tend to have a lower B/M ratio. However, since b_3 was only significant with the equally-weighted portfolio, but not the value-weighted, then that would indicate that not all newly listed firms had a low B/M (i.e. high M/B), that it is the smaller NLSs that had a low B/M.

The findings from both the cross-sectional and time-series regressions show that our first set of results is robust to different benchmarks and specifications. Hence, what has been found earlier using the size-matched portfolios holds true, that NLSs do not observe any abnormal performance over the long-run. In other words, any deviation observed in the performance of NLSs relative to the market indexes is fully captured when controlling for the characteristics of newly listed firms, especially size.

V Conclusion

This paper tries to set the examination of the long-term performance newly listed firms in a unique setting in which NLSs do not issue stocks publicly immediately prior to their listing. Using data from the KSE over the time period 2001-2012 do not observe the long-term underperformance documented in the literature. We find that an investor investing in a portfolio of NLSs would have achieved a return that is statistically insignificant had he invested in a portfolio of non-NLSs with similar market capitalization.

An additional set of tests was done in which both the size and B/M effects were controlled for. This was done in two set of tests. The first set of tests examines the performance using cross-sectional regression while the second set utilizes a calendar-time approach where the returns of time-series portfolios are tested using the Fama-French Three Factor model. The results remain robust and are in contrast to the findings of the long standing literature since Ritter (1991). These set of tests remain to be the first such painstaking tests applied to the long-term performance of NLSs in the GCC.

The only set of results in which NLSs showed an abnormal performance was when their long-term performance was compared to that of the market indexes. As shown clearly by the time-series regressions, NLSs are of smaller size compared to the rest of the market. Hence, any proper assessment of their performance should take into account the smaller size effect (Banz, 1981), which when done the abnormal performance dissipates.

Although most of the listing of the firms happened in the hot market of 2005-2006 where KSE observed significant volume and high prices which fits into the window of opportunity story of ? (?), the valuations awarded to NLSs are found to be no different from those of similar size.

This paper contributes to the IPO literature by documenting the unique evidence that firms that get listed without having issued new stock do not underperform. A valid concern, however, that can be tackled by future research would be to explain this phenomena. One could argue that since there is no recent capital injection for NLSs, there is no expectation in the market for significant growth due to plausibly high returns on new equity. This could possibly raise an additional concern to why then would firms get listed in KSE. Two plausible reasons is to allow founders and previous shareholders to liquidate some of their holdings or exit completely. Another reason is an easier channel to access into the capital market in the future if the need arises for additional equity.

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Table I: Long-term Performance of Newly Listed Stocks by Year of Listing

Year	No. of NLSs	Buy-and-Hold Return		Wealth Relative
		NLS	Matching Firm	
2001	1	193%	795%	0.33
2002	8	114%	795%	0.24
2003	9	93%	276%	0.51
2004	14	180%	28%	2.19
2005	28	314%	37%	3.02
2006	20	2%	-11%	1.15
2007	13	-33%	-44%	1.20
2008	8	-37%	-49%	1.24
2009	4	-22%	10%	0.71
2001-2009	105	119%	94%	1.13

This table shows the number of Newly Listed Stocks (NLSs) per year over the sample period. For each year, the table reports the 36-month average buy-and-hold return (BHR) for NLSs listed in that year since their listing month. It also reports the 36-month buy-and-hold return for size-matched firms that have been listed for greater than 36 months. The wealth relative is calculated as the average for all firms listed in year t as $(1 + BHR_{NLS}) / (1 + BHR_{MatchingFirm})$. The last row shows the total number of firms with full 36-month performance during the sample period with the average BHR for NLSs and matching firms across all firms.

Table II: Average Returns for Three Years Following the Stock's Listing and Their Size-Matched Firms

	First 6 months	Second 6 months	First Year	Second Year	Third Year	Years 1-3
(1) Newly Listed Stocks	144%	5.00%	152%	9.00%	5.00%	119.00%
(2) Size-matched Firms	8%	6.00%	17%	16%	7.00%	94%
(3) <i>t</i> -statistics for difference	2.03	-0.41	1.8	-1.09	-0.21	0.38
(4) Sample Size	115	115	115	115	105	105

This table shows the equally-weighted buy-and-hold returns of newly listed stocks and size-matched firms over their 3-year holding period broken into subperiods. Row 3 reports the *t*-statistic for the difference between the buy-and-hold returns of newly listed stocks and size-matched firms. Row 4 reports the sample size.

Table III: Average Buy-and-Hold Returns and Wealth Relatives for Newly Listed Stocks Using Alternative Benchmarks

	Average 3-year Return		Wealth Relative
	Newly Listed Stocks	Benchmark	
Size-matched Firms	119%	94%	1.13
KSE PW Index	119%	54%	1.42
KSE VW Index	119%	45%	1.51

This table shows the equally-weighted three-year returns and wealth relatives for newly listed stocks versus three different benchmarks. The three benchmarks are size-matched firms (as reported in Tables I and I, Kuwait Stock Exchange (KSE) price-weighted (PW) index, and KSE value-weighted (VW) index. The KSE PW and VW Indexes' returns are monthly compounded returns for the index over the duration in which the newly listed stock was held. The wealth relative is calculated as the average across all firms of $(1 + BHR_{NLS})/(1 + BHR_{Benchmark})$.

Table IV: Fama-Macbeth Regressions of Stock Returns on Size, Book-to-Market, and Newly Listed Dummy

Model	Average Parameter Values				Avg. R-sq.	No. of Months
	Intercept	ln MV	ln BV/MV	NLS		
All months	0.105	-0.004	0.006	0.013	0.047	145
(1)	3.06	-2.77	1.95	1.29		
All months	0.011			0.019	0.012	145
(2)	2.52			1.67		

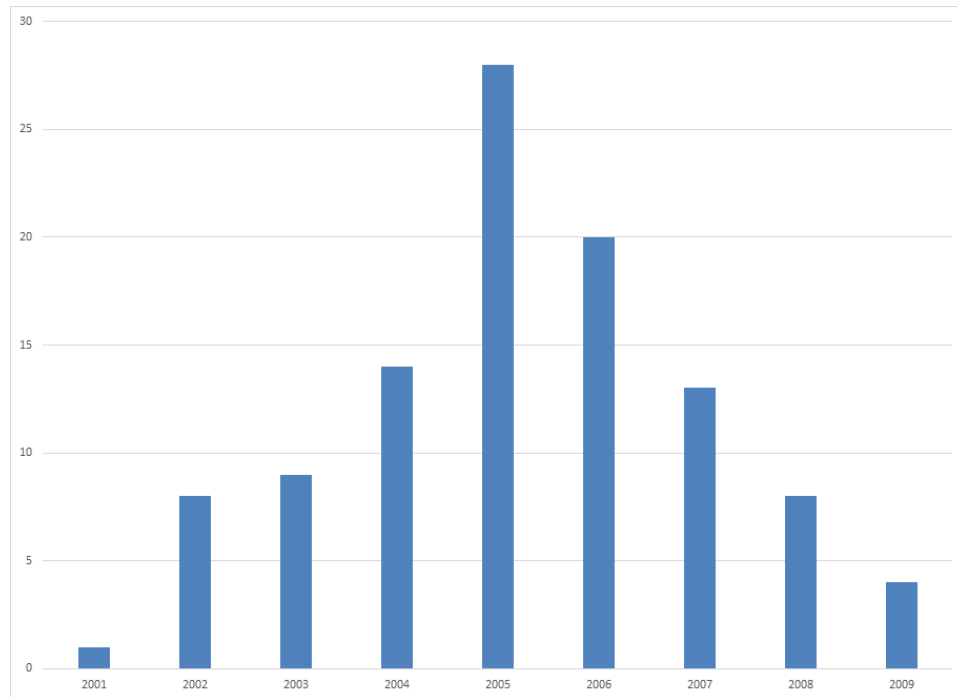
This table shows Fama-Macbeth cross-sectional regressions of stocks monthly returns on a set of explanatory variables. MV is the firm's market value on the most recent June 30. BV/MV is ratio of the firm's book value of equity to its market value of equity. We define the book value of equity as the book value at last December 31 quarter. NLS is an indicator variable equal to 1 if the firm has been listed for 36 months or less, 0 otherwise. The sample includes all stocks over the sample period 2001-2012. ln stands for natural logarithm.

Table V: Fama-French Three Factor Regressions of Value-weighted and Equally-weighted Portfolio Returns

	Coefficient Estimates				R^2_{adj}
	b_o	b_1	b_2	b_3	
Panel A: Value-weighted Portfolio Returns					
(1) Newly Listed	0.0038 (0.728)	1.3162 (7.45)	0.2446 (3.87)	0.0101 (0.07)	0.36
(2) Non-Newly Listed	-0.0006 (-0.46)	0.9477 (45.59)	-0.0354 (-4.76)	0.0066 (0.40)	0.94
(3) Difference	0.0024 (0.20)	0.3648 (1.86)	0.2803 (3.98)	0.0052 (0.973)	0.12
Panel B: Equally-weighted Portfolio Returns					
(4) Newly Listed	-0.0102 (-1.33)	1.2477 (10.02)	0.6088 (13.65)	-0.1385 (-1.39)	0.7
(5) Non-Newly Listed	-0.0075 (-4.13)	0.709 (24.23)	-0.0192 (-1.83)	0.2395 (10.23)	0.87
(6) Difference	-0.0048 (-0.56)	0.535 (3.92)	0.6283 (12.85)	-0.3763 (-3.45)	0.58

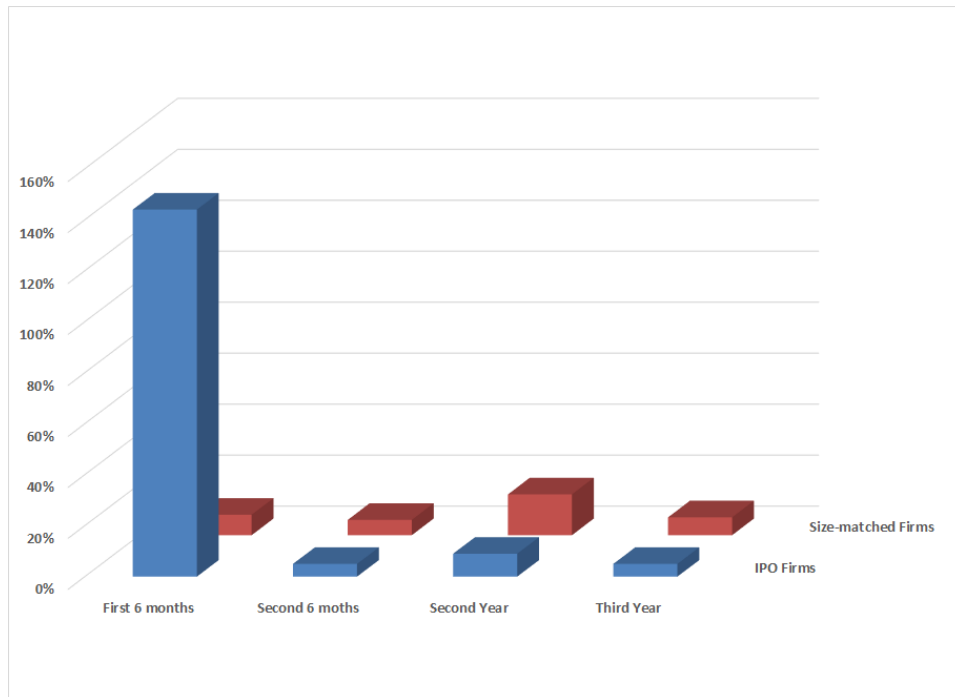
This table reports the results of running Fama-French Three-Factor time series regression of a portfolio of newly listed stocks each held for a period of 36 months. The regressions are repeated on the universe of all stocks that have been listed for more than three years as in rows 2 and 5. In rows 3 and 6 we run the regressions on the difference in returns between the portfolios of newly listed stocks and non-newly listed stocks. The estimated regression is as follows, $R_{pt} - R_{ft} = b_o + b_1(R_{mt} - R_{ft}) + b_2SMB_t + b_3HML_t + e_t$. R_{mt} is the return on the Kuwait Stock Exchange price-weighted index in month t . R_{ft} is the three-month Central Bank of Kuwait T-bill rate in month t . SMB_t is the return on small firms minus the return on large firms in month t . HML_t is the return on firms with high book-to-market ratio minus the return on firms with low book-to-market ratio in month t . t -statistics are reported below the coefficients in parentheses. Panel A reports the results with portfolio returns value-weighted using market cap. Panel B reports the results with portfolios returns equally-weighted.

Figure I: Number of Newly Listed Firms Over the Time Period 2001-2009



This figure shows the annual number of newly listed firms over the period 2001-2009 as reported in Table I.

Figure II: Average Returns for Three Years Following the Stock's Listing and Their Size-Matched Firms



The figure shows the equally-weighted returns of newly listed stocks versus their size-matched counterparts over their 3-year holding period as reported in Table II.